

Before the Federal Maritime Commission, Washington, DC.

Docket No. 25-08

FormuKleen, Inc.

(Complainant)

vs.

Top Shipping Systems, Corp.

(Respondent)

RESPONDENT'S RESPONSE TO COMPLAINANT'S STATEMENT OF MATERIAL

FACTS

PRELIMINARY STATEMENT

Complainant's Statement of Material Facts contains numerous mischaracterizations, omissions, and unsupported assertions. Several facts lack proper citation to admissible evidence or fail to reference specific portions of the Verified Answer. Where Complainant's Statement of Material Facts accurately reflects matters admitted by Respondent, such admissions are restated in context. Where Complainant's Statement of Material Facts omits material context or misstates the record, Respondent provides clarifying facts with citation to the Affidavit of Ricky Villena.

Respondent expressly incorporates its Opposition to Complainant's Motion for Summary Judgment, its Verified Answer, and all exhibits and affidavits on file:

1. Respondent TSS admits it physically received, handled, stored, and delayed delivery of two international ocean cargo containers, CSHU4047424 and BSIU8431017, after their arrival from international ocean transport. (Verified Answer ¶¶1, 4 *5) (Verified Answer ¶3 *6)

Response: The reference provided by Complainant is unclear. Unlike the other fact citations, it does not identify a specific page or section and should be disregarded. The first paragraph of TSS's Response has no relation to the statement set forth at Fact No. 1. If, however, the Court determines to consider this fact notwithstanding the lack of a proper reference, Respondent states as follows: Container CSHU4047424 was taken to the trucker's yard and subsequently delivered to Complainant's warehouse. The cargo arrived at the port on February 2, 2025 and remained unavailable until February 6, 2025. Pursuant to Respondent's instructions, the container was pulled by Sea Blue Freight Container, Inc. (the trucker) and held at its yard until February 25, 2025, when it was delivered to FormuKleen after receiving payment. (See *Verified Answer* § 4, at p. 5). As to BSIU8431017 was brought to TSS' warehouse on April 15, 2025 and then released the cargo on June 25th, 2025 when further payments were made on the account, although there is still a balance of \$9,671.68 that is owed on the accounts. *See Aff. of Ricky Villena, Ex. A ¶ 15.*

2. Respondent TSS admits it managed and received telex releases and diverted both containers to its own or affiliated yards and warehouses. (Verified Answer ¶¶1, 4 *5)
(Verified Answer ¶3 *6)

Response: Respondent objects to this fact as misstating the record. Respondent did not "manage" telex releases; it merely awaited confirmation that the telex releases had been received by Complainant's NVOCC agent in the United States, who then transmitted the release to the port so that container pickup could be coordinated by TSS. Respondent further denies the use of the term "diverted," as it inaccurately implies an improper redirection of cargo. The cargo was lawfully held pending

payment in accordance with Respondent's suspension of Complainant's credit and services. *See Aff. of Ricky Villena, Ex. A ¶ 9.*

3. Respondent TSS admits it withheld delivery of both containers due to outstanding unrelated payment obligations owed by Complainant. (Verified Answer ¶1 *5)
(Verified Answer Appendix RX-App0003)

Response: Respondent objects to this fact on the grounds that the citation provided is unclear, as Complainant fails to identify where in the Verified Answer this alleged admission appears other than at RX-App0003. Subject to and without waiving this objection, Respondent denies the fact as stated.

4. Respondent TSS admits it revoked credit terms, and refused to advance duties, in connection with the withheld containers. (Verified Answer ¶2 *7)

Response: Admitted in part, denied in part. Respondent admits that credit terms were revoked; however, Respondent advanced customs duties for container CSHU4047424 and for other prior shipments. Respondent did not advance duties for container BSIU8431017 due to Complainant's delinquent payment history.

5. Respondent TSS admits that container CSHU4047424 was held at its trucking partner's yard until February 25, 2025, when it was finally delivered to FormuKleen's warehouse after delays caused by unpaid balances. (Verified Answer, ¶1 *5)

Response: Admitted.

6. Respondent TSS admits it paid port storage fees for container BSIU8431017, transferred it to its warehouse, and notified FormuKleen of storage charges and retrieval conditions. (Verified Answer ¶3 *6)

Response: Admitted.

7. Respondent TSS admits that it withheld cargo release unless and until FormuKleen satisfied outstanding unrelated amounts, and claimed it was entitled to do so under the Uniform Commercial Code. (Verified Answer ¶4 *1)

Response: Admitted that it partially withheld cargo for prior shipments, as some of the payments were and others were not related to the subject shipments and further admit that it is entitled to withhold goods under the Uniform Commercial Code Florida Statute 677.209 (1).

8. Respondent TSS does not claim it had authorization from FormuKleen to move, hold, or warehouse the goods after port arrival. (Verified Answer in its entirety)

Response: Objected to as an improper citation to the record and should be struck. Denied to the extent that a Response is required.

9. Respondent TSS admits it was engaged in warehousing, inland transportation, customs brokerage, and financial transactions related to international cargo, including paying port storage charges on FormuKleen's behalf. (Verified Answer ¶3 *1)(Verified Answer ¶4 *4)

Response: Denied to the extent this statement implies that Respondent handled freight charges. Further denied as to the term "financial transactions related to international cargo," which is vague, overly broad, and mischaracterizes Respondent's role.

10. Respondent TSS admits it withheld delivery of Complainant's cargo until unrelated debts were paid, both before and after the filing of this proceeding. (Verified Answer *6 Exhibit RX-App0003)

Response: The Respondent denies this as there are invoices owed for the cargo in the amount of \$9,671.68. **See Affidavit of Ricky Villena.**

11. Respondent TSS attached to its Verified Answer internal communications confirming that its warehouse diversion of Complainant's cargo was directed by its accounting department based on account balances. (Verified Answer *6 Exhibit RX-App0003)

Response: Denied that this was a diversion as payments were owed on the cargo.

12. Respondent TSS admits it revoked credit, refused to advance duties, and diverted shipments based on FormuKleen's payment history for other shipments. (Verified Answer *6 Exhibit RXApp0003)

Response: Objected as this is the same as 4 and 11.

13. Respondent TSS admits it refused to release the containers unless FormuKleen satisfied unrelated account balances, and that the retrieval process it imposed included demands for those unrelated debts. (Verified Answer ¶1 *5)

Response: Denied as the warehouse provides for a general lien which is allowable under Florida Statute 677.209(1). Some of the charges were for other shipments as all owed under Florida Statute 677.209(1).

14. Respondent TSS confirms it never formally exercised any lien on the withheld cargo. (Verified Answer ¶4 *1)

Response: Denied. Respondent did not state that it "never exercised" its lien rights; rather, Respondent did not enforce its lien through a public auction or sale because the debt was substantially paid by Complainant. This fact also misstates the record and fails to identify the specific portion.

15. Respondent TSS acknowledges that it did not release the cargo upon demand

(Verified Answer*6 Exhibit RX-App0003)

Response: Admitted that it initially did not release upon demand due to outstanding related and other invoices.

16. Respondent TSS admits it withheld release of Complainant's cargo to compel

payment of unrelated debts, stating that container CSHU4047424 "was pulled and held at our trucking partner's yard until February 25, when it was finally delivered to FormuKleen's warehouse after delays caused by unpaid balances owed to TSS."

(Verified Answer ¶1 *5)

Response: Admitted in part, denied in part. Respondent admits that container CSHU4047424 was held until February 25, 2025, due to unpaid balances owed to TSS. However, denied to the extent this statement characterizes the debts as "unrelated." The outstanding balances included charges directly related to the subject cargo as well as other shipments, all of which were subject to Respondent's general lien rights.

17. Respondent TSS admits, through an internal email attached to its Verified Answer,

that it diverted container BSIU8431017 to its warehouse based on accounting directives; stating, "As per my accounting department I was given instructions to bring this container to TSS Whse." (Verified Answer *6 Exhibit RX-App0003)

Response: This is redundant. See 11. There was no diversion as there was no payment.

18. Respondent TSS admits it revoked credit terms, refused to advance duties, and reassigned shipments in response to Complainant's payment history for other shipments. (Verified Answer ¶2 *7)

Response: Already set forth. See answer 4, 12

19. Respondent TSS's April 16 email, attached to its Verified Answer, states: "Goods have been placed into your inventory and will be released once your account has been brought up to date." (Verified Answer *6 Exhibit RX-App0003)

Response: Admitted.

CERTIFICATE OF SERVICE

I certify that on the 5th day of August, 2025, a true and correct copy of the foregoing Notice of Service was hereby served by electronic mail upon the party of record for the Complainant, in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

Served to:

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Respectfully submitted,

Daniel W. Raab. P.A.

s/Daniel W. Raab_____

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